UNIT 4

GOODWILL IN PARTNERSHIP ACCOUNTS

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Points to recall

The following points are to be recalled before learning goodwill in partnership accounts:

- Meaning and features of partnership firm
- Meaning of intangible assets

Learning objectives

To enable the students to

- Understand the need for valuation of goodwill in partnership firm and factors that determine the value of goodwill
- Understand the different methods of valuation of goodwill

Key terms to know

- Goodwill
- Average profit
- Normal profit
- Super profit

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